

writing, year over year, it's still only 3.8%—the lowest unemployment rate since the 1960s.

Literally, nothing that Summers had insisted as necessary to tame inflation turned out to be true.

There are two lessons to take away from the *Larry Summers' Inflation Experience*: The first is just how emotional the timing aspect of this was. As inflation was reaching its zenith, a wild claim—we need 10% unemployment?!?—was widely spread by the media.

This is par for the course.

Whenever the economy or the stock market hit an extreme, so too do the noise levels. Pundits hungry for the spotlight make outrageous pronouncements during these periods, just to be heard over the din. The media are often all too willing accomplices.

Even more revealing is what these claims tell us about the experts themselves. Tech investor Paul Graham's insight is telling: "When experts are wrong, it's often because they're experts on an earlier version of the world."^{[40](#)}

Larry Summers came of age as an economist in the 1970s, graduating MIT in 1975. That was an era of structural, not transitory, inflation: Oil embargos and wage spirals were taking place in the middle of a long bear market (1966–82). Sentiment was poor, and the United States was suffering from a post-Watergate and post-Vietnam War malaise.

The 2020s have little in common with the 1970s. A better frame of reference to today is the post-war era of the 1940s. There are obvious parallels between the war on Covid and World War Two, from the huge fiscal stimulus to the pent-up consumer demand once things normalized. Both eras suffered from an inflation spike, and in both instances, it was "transitory." Unemployment fell as well.

It's a reminder that experts are humans, filled with the bias and baggage we